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Case Number: 26STLC00280 Hearing Date: August 11, 2026 Dept: 26

TENTATIVE RULING:

Defendants Wathiq Ahmad Kassim
and KCK Auto Sales LLC's Demurrer to the First Amended Complaint is overruled
as to the first through third causes of action and sustained with leave to
amend as to the fourth and fifth causes of action.

Plaintiffs are to file and serve
a Second Amended Complaint within 10 days.

Analysis:

On January 15, 2026, Plaintiff
Westlake Services, LLC dba Westlake Financial Services ("Plaintiff")
filed the Complaint in this action against Defendants Wathiq Ahmad
Kassim ("Defendant Kassim") and KCK Auto Sales LLC ("Defendant KCK"). Defendants filed a Demurrer to the Complaint on March 12,
2026. In response, Plaintiff filed a First Amended Complaint on March 30, 2026.

Defendants filed the Demurrer to
the First Amended Complaint on June 22, 2026. Plaintiff filed an opposition on July
29, 2026, and Defendants replied on August 5, 2026.

Discussion

The Demurrer is not accompanied
by a meet and confer declaration as required by Code of Civil Procedure section
430.41. The opposition, however, refers to a meet and confer effort between the

attorneys. (Opp., Aposhian Decl., ¶¶5-6.)

To the extent the Demurrer relies on the declaration of Defendant Kassim, the Court declines to consider it. It is black letter law that a demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (Code Civ. Proc., § 430.30; Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) Under this rule, which the Demurrer itself cites but then violates by relying on an outside declaration, no extrinsic evidence such as Defendant Kassim's declaration can be considered.

Defendants demur to each cause of action in the First Amended Complaint for failure to allege sufficient facts and uncertainty. (Citing Code Civ. Proc., § 430.10, subds. (e), (f).) As demurrers for uncertainty are not permitted in the Limited Civil Court, the Court will not rule on that basis for the Demurrer. (See Code Civ. Proc., § 92, subd. (c).)

Allegations in the First Amended Complaint

The First Amended Complaint asserts causes of action for (1) open book account; (2) account stated; (3) reasonable value; (4) breach of contract; and (5) breach of guarantee, based on the following facts. On April 26, 2026, Defendant entered into a written Master Dealer Agreement ("MDA") with Plaintiff in exchange for value, pursuant to which Defendant assigned certain retail installment sale contracts to Plaintiff. (FAC, ¶¶9, 17.) Defendant also made certain representations, warranties, covenants, and repurchase obligations in connection with the MDA. (Id. at ¶9.) Due to breaches of Defendant's representations, warranties, and/or covenants, which included fraud-related or misrepresentation-related breaches, the Subject Contracts became subject to repurchase under the MDA. (Id. at ¶18.) Plaintiff sent Repurchase Demands to Defendant on or about September 14, 2023 and January 23, 2024, but Defendant failed and refused to repurchase the Subject Contracts and otherwise satisfy its obligations under the MDA. (Id. at ¶¶19-20.)

Pursuant to these alleged facts, the common counts are alleged against both Defendants. The fourth cause of action is alleged against Defendant KCK, and the fifth cause of action is alleged against Defendant

Kassim.

1st Cause of Action for Open Book Account

Under Code of Civil Procedure section 337a, and open book acount is defined as, "a detailed statement which constitutes the principal record of one or more transactions between a debtor and a creditor arising out of a contract or some fiduciary relation, and shows the debits and credits in connection therewith, and against whom and in favor of whom entries are made, is entered in the regular course of business as conducted by such creditor or fiduciary, and is kept in a reasonably permanent form and manner . . . ." (Code Civ. Proc., § 337a, subd. (a).) The elements are (i) financial transactions between the parties; (ii) a written or electronic record of debits and credits in the regular course of business; (iii) that the defendant owes money on the account; and (iv) the amount owed. (CACI No. 372.)

Defendants demur on the grounds that there are no allegations of a written ledger or detailed accounting of the debits and credits between the parties in the ordinary course of business. In opposition, Plaintiff points to Farmers Ins. Exchange v. Zerin (1997) 53 Cal.App.4th 445, 460 and Moya v. Northrup (1970) 10 Cal.App.3d 276, 279 regarding the pleading requirements for common counts. In Farmers Ins., the Court of Appeal stated the long-standing rule that common counts need only allege (1) the statement of indebtedness in a sum certain, (2) the consideration i.e., goods sold, work done, etc., and (3) nonpayment. The First Amended Complaint refers to the existence of an open book account, the consideration under the MDA (value exchanged), a statement of indebtedness in the amount of $13,269.13, and Defendants' refusal to pay. (FAC, ¶¶1, 17, 22, and p. 7:12-13.) This is sufficient to allege an open book account.

To the extent Defendants also demur on the grounds that the alleged debt is governed by the MDA, not an open book account, this ignores that the common count allegations may be made in the alternative to the breach of contract cause of action. (See Rader Co. v. Stone (1986) 178 Cal.App.3d 10, 29.)

The Demurrer to the first cause of action, therefore, is overruled.

2nd Cause of Action for Account Stated

The second cause of action alleges that “there was an account stated by and between Plaintiff and Defendants” in the amount of $13,269.13, and that Defendant agreed it owed that debt. (FAC, ¶¶1, 25.) “An account stated is ‘an agreement, based on prior transactions between the parties, that the items of an account are true and that the balance struck is due and owing.’” (Professional Collection Consultants v. Lauron (2017) 8 Cal.App.5th 958, 968 [citing Maggio, Inc. v. Neal (1987) 196 Cal.App.3d 745, 752, 241 Cal.Rptr. 883 (Maggio)].) The Demurrer incorrectly argues that there is no allegation that the parties agreed to the specific amount due. The second cause of action, which incorporates the debt as defined in paragraph 1, alleges the existence of an account to which Defendant agreed. (See FAC, ¶25.) The Demurrer to the second cause of action, therefore, is overruled.

3rd Cause of Action for Reasonable Value

Defendants demur to the third cause of action only on the basis that the alleged debt is governed by the MDA, and that no repurchase obligation was triggered under that contract. As already discussed, common counts may be asserted in the alternative to the contract causes of action and common counts need only allege a statement of indebtedness in a sum certain. The third cause of action is not insufficient for failing to allege a breach of the terms of the MDA. The Demurrer to the third cause of action is overruled.

4th Cause of Action for Breach of Contract

A cause of action for breach of contract must allege (1) the existence of a contract, (2) the plaintiff's performance or excuse for nonperformance, (3) the defendant's breach, and (4) resulting damages. (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.) The Demurrer is brought on the basis that the repurchase obligation under the MDA, set forth at Section 6, is triggered by specific events that are not alleged in the First Amended Complaint. Section 6 provides that “Dealer agrees to repurchase a Contract for any failure by Dealer to perform any obligations, or breach by Dealer of any representation, warranty or covenant set forth in this Agreement. (FAC, Exh. 1, §6.)

In language that parrots Section 6, Plaintiff alleges that Defendants breached “representations, warranties, and/or covenants, including but not limited to fraud-related or misrepresentation related breaches," thereby triggering the repurchase provision. (FAC, ¶18.) Defendants' Demurrer does not address this language. Indeed, Defendants describe the allegations regarding "fraud-related or misrepresentation-related" breach as "un-pleaded," suggesting that Defendants may not have seen that language in paragraph 18, where it appears. (Reply, p.2; id., p.3:7-11.) Defendants also argue that the Complaint must allege "one of the enumerated triggering conditions in Section 6," (Reply, p.3), however, Section 6 identifies enumerated conditions (a) through (j) as as "addition[al]" events that may trigger re-purchase, in addition to "any failure by Dealer to perform any obligation, or breach by Dealer of any representation, warranty or covenant set forth in this Agreement." (FAC, Exh. 1, §6.) Therefore, to the extent Defendant contends that one of the enumerated conditions must be pled, the Court disagrees.

Nonetheless, however, the Court agrees that the Complaint should specify the alleged breach that triggered the re-purchase obligation. "If the condition is an event which must happen before the defendant's duty of performance accrues, a specific allegation of the happening of the condition is a necessary part of the pleading of the defendant's breach." Byrne v. Harvey, (Ct. App. 1962) 211 Cal. App. 2d 92, 113 (quoting Witkin, Cal. Procedure, Pleading, § 261, p. 1237.) "[W]here a condition precedent to contractual recovery is an event, as distinguished from an act to be performed by the plaintiff, the complaint must specifically allege the event." (Clack v. State, Dep't of Pub. Works, Div. of Highways (Ct. App. 1969) 275 Cal. App. 2d 743, 748.) Plaintiff appears to contend that it provided this information during meet-and-confer efforts, and cites email correspodence pertaining to discovery, the import of which is not clear. (Opp., Aposhian Decl., ¶¶6-7, Exhs. 2-3.) Even if it were clear, extrinsic evidence of the parties' emails is not part of the Complaint and does not remedy the deficiency.

The Demurrer to the fourth cause of action is sustained with leave to amend.

5th Cause of Action for Breach of Guarantee

Defendant Kassim demurs to the fifth cause of action as entirely derivative of the claim for breach of contract and therefore likewise demurrable. As the Demurrer to the fourth cause of action is sustained, so too is the one directed at the fifth cause of action, with leave to amend.

Request for Sanctions

In its Opposition, Plaintiff asks the Court to impose sanctions under Code of Civil Procedure, § 128.5. Sanctions are not called for. The Court addresses the request separately to note that it is procedurally improper. Section 128.5 sanctions are not properly sought as an argument in opposition. The request must be raised by separate motion, and the 21-day safe harbor opportunity must be offered. (Code Civ. Proc., § 128.5 (f)(1)(A)-(B).) The Court discourages parties from threatening sanctions as a means of argument, especially without attending to the procedural requirements.

Conclusion

Defendants Wathiq Ahmad Kassim and KCK Auto Sales LLC's Demurrer to the First Amended Complaint is overruled as to the first through third causes of action and sustained with leave to amend as to the fourth and fifth causes of action.

Plaintiffs are to file and serve a Second Amended Complaint within 10 days.

Moving party to give notice.